

Test Yourself
Microeconomics
PED and YED

PED and YED

1. Assess whether price elasticity of demand (PED) **or** income elasticity of demand (YED) is likely to be of greater importance to a firm producing cars. (12) **q2b/21/O/N/23**
2. Assess whether knowledge of income elasticity of demand **or** price elasticity of demand for its product is more useful to a business aiming to increase the total expenditure on its product during a period of economic growth. (12) **q2b/22/O/N/24**

Question	Answer	Marks
1	Assess whether price elasticity of demand (PED) or income elasticity of demand (YED) is likely to be of greater importance to a firm producing cars. Use Table A: AO1 Knowledge and understanding and AO2 Analysis and Table B: AO3 Evaluation to mark candidate responses to this question. AO1 and AO2 out of 8 marks. AO3 out of 4 marks. Indicative content Responses may include: AO1 Knowledge and understanding and AO2 Analysis • An understanding of the meaning and formula of PED. • An understanding of the meaning and formula of YED. • An analysis of how each of these concepts can be applied to the specific context of a firm producing cars. Guidance: A clear comparison of the strengths and weaknesses of these two concepts in the context of car production needed to get into Level 3. (Up to 8 marks) AO3 Evaluation • PED should be easier for a firm to calculate than YED. • PED will indicate whether price should be increased or decreased. • However, a firm will need to take into account the availability of substitutes, the amount spent on the product and the time period under consideration. • YED will be helpful in giving a firm an indication of the extent to which a change in income may affect spending on cars. • However, a firm will need to take into account whether a car is seen as a normal or an inferior good, the proportion of income that is spent on the car and whether an economy is experiencing an upturn or a downturn. • In conclusion, PED is likely to be of greater importance than YED, but YED will still be of some use. Accept all valid responses. (Up to 4 marks)	12
	AO1 Knowledge and understanding and AO2 Analysis	8
	AO3 Evaluation	4

Question	Answer	Marks
2	Assess whether knowledge of income elasticity of demand or price elasticity of demand for its product is more useful to a business aiming to increase the total expenditure on its product during a period of economic growth. Use Table A: AO1 Knowledge and understanding and AO2 Analysis and Table B: AO3 Evaluation to mark candidate responses to this question. AO1 and AO2 out of 8 marks. AO3 out of 4 marks. Indicative content Responses may include: AO1 Knowledge and understanding and AO2 Analysis Responses should focus on how the two measures are used rather than displaying merely knowledge and must relate to a period of economic growth which may lead to rising incomes and prices. - Advantages and disadvantages of using income elasticity of demand include the opportunity to classify products as normal or inferior goods and may influence what type of goods to produce. The measure may be less useful in terms of pricing decisions and may be based on historical data which may be inaccurate. - Advantages and disadvantages of using price elasticity of demand include the opportunity to measure the impact of price changes but again suffer from the use of historical data which may be inappropriate in a time of economic growth and rising incomes which could affect PED values. Accept any valid analysis that relates to the use of these measures during a period of economic growth and their impact on the aim of increasing sales revenue. Level 1 responses will be assertive and lacking in explanations / mainly descriptive and/or or mainly lacking in relevance to the question. Level 2 responses may contain some inaccuracies and may be one sided. Analysis will be explained at least in part and will be largely relevant to the question. Level 3 responses will consider alternative policies / concepts etc. and will be balanced. Explanations of points raised will be offered and will be accurate and relevant to the question.	12

Question	Answer	Marks
2	AO3 Evaluation - Requires an assessment of the use of both measures in comparison with each other in terms of their usefulness to a business aiming to increase sales revenue in a period of economic growth. Leading to - A justified conclusion as to which is the most useful method. A one-sided response cannot gain any marks for evaluation.	
	AO1 Knowledge and understanding and AO2 Analysis	8
	AO3 Evaluation	4